RBI - OFFICIAL REGULATORY DIRECTION
Regulatory Directions on Loan-to-Value (LTV) Ratio for Gold Jewellery Loans

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Chapter 1: Operational Compliance Guidelines (DOC_002)

Section 2.4: Tiered LTV Schedule and Valuation Assay Rules

2.1 Valuation of Bullion and Jewellery
Gold jewellery accepted as collateral shall be valued at the average closing price of 22-carat gold for the preceding 30 calendar days as quoted by the India Bullion and Jewellers Association (IBJA). Stones, gems, and making charges must be excluded from collateral weight.

2.4 Maximum Permissible LTV Ratio
The aggregate Loan-to-Value (LTV) ratio, inclusive of capitalized interest on bullet repayment schemes, shall never breach 75% at any point during the loan tenure. Specific internal risk tiers are detailed in the schedule below.

Table 2.1: Mandatory Regulatory Schedule (DOC_002)

Repayment Scheme	Ticket Size Slab	Maximum LTV Cap	Margin Call Trigger	Auction Notice Period
Standard EMI Gold Loan	Up to Rs. 2,00,000	75.0%	82.0% of IBJA Value	14 Calendar Days
Standard EMI Gold Loan	Above Rs. 2,00,000	70.0%	78.0% of IBJA Value	14 Calendar Days
Bullet Repayment (12M)	Up to Rs. 5,00,000	65.0% (At Origination)	75.0% Including Interest	21 Calendar Days
Overdraft Against Gold		68.0%		15 Calendar Days

Chapter 3: Operational Compliance Guidelines (DOC_002)

Chapter 4: Operational Compliance Guidelines (DOC_002)

Chapter 5: Operational Compliance Guidelines (DOC_002)